HOW TO PRACTICE PATIENCE IN TRADING

One of the most frequently asked questions from traders is how to stop over-trading. As with many challenges, the solution is simple but not easy. If you find yourself struggling with over-trading, you likely already know what the answer is– patience. However, knowing is only part of the process. Everyone knows that in order to be healthy you must eat right and exercise regularly but how many of us do that to the degree that we know would be best? Similarly, traders often know that it would be best to be patient and wait for an ideal setup suitable for their goals but as we are so often drawn to immediate results, we can be led astray by impatience and take suboptimal setups that will more than likely result in taking unnecessary damage.

Applying patience to wait for ideal setups has a medley of additional benefits. Waiting for ideal conditions to begin operations will allow a trader more time throughout the day to work on things outside of the trade being stalked like education. Being patient with entries is likely to lead to better trade location which is the best risk management tool since the closer you are to the stop the better the risk to reward ratio. Having the patience to be picky with trade location will likely reduce the time in which it takes for the trade to start working for you as the best trades tend to start working right away meaning there is less time feeling uncertain. Fewer entries also translates into less stop outs which means less damage. The less damage we take, the more likely we are to stay in the game and continue to improve. Being deliberately passive while waiting for opportunity also allows a trader to practice absorbing and synthesizing market generated information as it develops to either affirm or negate the trade thesis and set up. Like firing at the hip or aiming down the sights, if accuracy and efficiency is the goal, bringing intent to watching charts is far superior than simply watching them for the sake of it.

An ideal setup for me must be at a location that suggests change in the market. For example, all intraday traders are familiar with the prior day's high, low, close, overnight low, and overnight high because breaching these levels suggests an attempt at change in the market. Additionally, the risk to reward ratio will ideally be at least 1:2. Even just sticking to these two parameters will filter out a majority of suboptimal trades from ever coming into fruition.

In this example of today's ES trading session on 1.19.21, observe how price is reactive at the aforementioned meaningful intraday locations. The opening drive is higher taking out the overnight high however price stalls at yesterday's regular trading hours high and then rolls over back below a higher low support and then the open, marked by the number 1. Price then arrives at the prior day's regular trading hours low and oscillates around the level before breaking to the upside and stalling at the closest key location, the open marked by the number 3, and eventually breaches the regular trading hours low before a short-covering rally occurs off of the December 20th point of control, the fairest price to do business on that day marked by the number 4. Following the short-covering rally, price resumed to the downside taking no pause at the overnight low on elevated end-of-day volume and found support at the 12.20 swing low marked by the number 6.

Diagram 1 – SPY 5min

Now let's put a simple trade plan together with the two previously mentioned parameters and see how many trades would have been appropriate. Assume we enter on a break of the most recent higher low or lower high upon arriving at location and target the next location for potential change to take profits while using the last swing high or low as a stop loss only if the risk to reward ratio is greater than 1:2.

The next diagram below shows all the potential setups given the decided parameters. Of the 5 potential setups, only two met the appropriate risk to reward requirement. Coincidentally, they both also arrived at target which should not be assumed and of course risk should always be managed as being wrong is a part of trading. It's fine to be wrong but not to stay wrong. The more important takeaway is that two simple parameters filtered out 60% of potential trade setups significantly reducing uncertainty and guess work regarding how and when to initiate and is a testament to the advantages of practicing patience. As Dan often says:

> **"Let the trade come to you!"**

Diagram 2 – SPY 5min

Points of action which you can work on:

- Determine specific parameters that define your edge
- Include favorable risk to reward ratio as a parameter
- Run a simulator and compare the difference of your performance when you trade with and without a predetermined plan
- Remind yourself throughout the day that you will only take trades that fit your predetermined parameters by conditioning yourself through methods like point and call or journaling